

Economics**Higher level / Standard level****Paper 2****SME Mark Scheme — Paper 2 Hard**

1. Use the question-specific mark scheme together with the mark bands.
2. Whenever relevant, carry-over (OFR) marks must be awarded.
3. A candidate may be penalised once for rounding/unit errors across (b) subparts.

Question 1 — Argentina**1. (a) (i) Define inflation. [2]**

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that inflation is a rise in prices in an economy.	1
2	<i>Accurate definition.</i> An understanding that inflation is a sustained increase in the general (average) price level of goods and services in an economy over a given period of time.	2

1. (a) (ii) Define current account. [2]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that the current account records trade flows between countries.	1
2	<i>Accurate definition.</i> An understanding that the current account is a component of the balance of payments that records net trade in goods and services, net primary income and net secondary income (current transfers) between a country and the rest of the world.	2

1. (b) (i) Change in Argentina's inflation rate between 2019 and 2023 (percentage points). **[2]**

Inflation 2019 = 53.8%; inflation 2023 = 143.0%.

Change = $143.0 - 53.8$ [1]

Answer = +89.2 percentage points [1]

1. (b) (ii) Percentage depreciation of the peso 2018 to late 2023. **[3]**

Using ARS per US\$: 2018 = 20; late 2023 = 800.

% depreciation = $[(800 - 20) / 800] \times 100$ [1]

= 97.50% [1]

Answer = 97.50% depreciation of the peso (correct units required for [1]).

Alternative accepted working: the US dollar appreciated from 20 to 800 ARS, a 3,900% appreciation (i.e. peso lost 97.5% of its value).

1. (c) AD/AS diagram — deficit financing causes demand-pull inflation. **[4]**

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an AD/AS diagram with AD shifting right OR an explanation that deficit financing increases money supply / government expenditure [1], raising AD and the price level [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct AD/AS diagram with AD shifting right AND an explanation that central-bank financed deficits raise money supply [1], causing demand-pull inflation [1].	3-4

1. (d) Exchange rate diagram — devaluation effect on current account. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an exchange rate diagram with the peso depreciating OR an explanation that a weaker peso makes exports cheaper and imports dearer [1], improving the current account (Marshall–Lerner permitting) [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct exchange rate diagram AND an explanation that devaluation raises export competitiveness and reduces imports [1], improving the current account if the Marshall–Lerner condition is satisfied [1].	3-4

1. (e) Export tax on soybeans — effect on producers. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For a demand-and-supply diagram showing a fall in producer revenue/output OR an explanation that an export tax reduces the net price received by producers [1], lowering output and producer surplus [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct demand-and-supply diagram (export tax lowers the price received by producers, quantity falls, loss of producer surplus shown) AND an explanation that soybean farmers receive a lower net price [1] and supply less to the market [1].	3-4

1. (f) AD/AS diagram — IMF fiscal consolidation. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an AD/AS diagram with AD shifting left OR an explanation that cuts in government expenditure and higher taxes reduce AD [1], leading to lower output and employment [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct AD/AS diagram with AD shifting left AND an explanation that fiscal consolidation reduces C and G [1], lowering real GDP and raising unemployment in the short run [1].	3-4

1. (g) Evaluate shock-therapy stabilisation in Argentina. [15]

Answers **may** include:

- Definitions of stabilisation, fiscal consolidation, devaluation, inflation targeting, dollarisation.
- Theory/diagrams: AD/AS (tight fiscal and monetary policy shifting AD left), exchange rate diagram, discussion of Marshall–Lerner.
- **Arguments for:** credibility; rapid inflation decline; restoration of access to capital markets; elimination of multiple-rate distortions (Text B, 4); removal of harmful subsidies; potential growth after adjustment.
- **Arguments against:** severe short-run recession; sharp rise in poverty (already at 40.1%, Table 1); political instability; regressive impact of subsidy removal; loss of independent monetary policy under dollarisation.
- **Alternatives:** gradual orthodox adjustment; heterodox stabilisation (wage/price pacts); currency board; targeted income support during adjustment.
- **Synthesis / conclusion:** a reasoned conclusion — often that shock therapy may be necessary given severity of crisis but must be accompanied by social safety nets and credible institutional reforms.

Marks	Level descriptor
0	<i>The work does not meet a standard described by the descriptors below.</i>
1–3	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant. The response contains no evidence of synthesis or evaluation. The response contains no use of text/data.
4–6	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included. The response contains evidence of superficial synthesis or evaluation. The response contains limited use of text/data.

7–9	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included. The response contains evidence of appropriate synthesis or evaluation but lacks balance. The response includes some relevant information from the text/data.
10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. The use of information from the text/data is generally appropriate, relevant, and applied correctly.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. The use of information from the text/data is appropriate, relevant, and is used to formulate a reasoned argument supported by analysis/evaluation.

Question 2 — India

2. (a) (i) Define **nominal GDP**. [2]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that nominal GDP is the value of output in an economy.	1
2	<i>Accurate definition.</i> An understanding that nominal GDP is the total market value of all final goods and services produced in an economy over a given period, measured at current prices (not adjusted for inflation).	2

2. (a) (ii) Define **protectionism**. [2]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>Vague definition.</i> The idea that protectionism limits imports into a country.	1
2	<i>Accurate definition.</i> An understanding that protectionism involves the use of government policies such as tariffs, quotas, subsidies and administrative barriers to shield domestic producers from foreign competition.	2

2. (b) (i) India's real GDP per capita 2022–23 (to nearest US\$). **[3]**

Nominal GDP = US\$3,700 bn; population = 1,420 million.

GDP per capita = $3,700,000,000,000 / 1,420,000,000$ [1]

= \$2,605.63 $\approx$ \$2,606 per person [1]

Answer = US\$2,606 (accept US\$2,605–2,606 depending on rounding; correct units required for [1]).

2. (b) (ii) Current account deficit as a percentage of nominal GDP. **[2]**

= $(-67 / 3,700) \times 100$ [1]

Answer = –1.81% of GDP [1]

2. (c) AD/AS — higher global oil prices. **[4]**

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an AD/AS diagram with SRAS shifting left OR an explanation that higher oil prices raise production costs [1], causing a rise in the price level and fall in real output [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct AD/AS diagram (SRAS left, P up, Y down) AND an explanation that oil is a key input to production and transport [1], producing cost-push inflation and slower growth [1].	3-4

2. (d) Tariff diagram — infant industry protection. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For a tariff diagram showing world supply + tariff raising domestic price above world price OR an explanation that tariffs raise price, increase domestic output [1] and give infant industries time to achieve economies of scale [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct tariff diagram with world supply, world supply + tariff, domestic supply/demand, consumer-surplus loss, producer gain, tariff revenue and welfare loss clearly labelled AND an explanation that tariffs protect infant industries while they build competitiveness [1], with welfare cost [1].	3-4

2. (e) Exchange rate diagram — remittance inflows. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For an exchange rate diagram with demand for INR shifting right (appreciation) OR an explanation that remittances generate demand for rupees [1], causing the rupee to appreciate [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct exchange rate diagram (price of rupee rising) AND an explanation that overseas workers convert foreign currency into INR [1], raising demand for rupees and appreciating the currency [1].	3-4

2. (f) Negative consumption externality — solid-fuel cooking. [4]

Level		Marks
0	<i>The work does not meet a standard described by the descriptors below.</i>	0
1	<i>There is a correct diagram OR an accurate written response.</i> For a negative consumption externality diagram with $MSB < MPB$ and welfare loss triangle OR an explanation that solid-fuel use imposes health/environmental costs [1] so government subsidises cleaner gas to raise consumption toward the social optimum [1].	1-2
2	<i>There is a correct diagram AND an accurate written response.</i> For a correct negative consumption externality diagram ($MSB < MPB$, welfare loss) AND an explanation that a subsidy on clean gas corrects the externality by shifting consumption toward Q^* [1] and improving welfare [1].	3-4

Alternatively: a positive consumption externality diagram for cleaner cooking gas ($MSB > MPB$) with a subsidy correcting under-consumption is also acceptable.

2. (g) Discuss India's cautious approach to FTAs and long-term growth/development. [15]

Answers **may** include:

- **Definitions:** free trade, trade creation, trade diversion, protectionism, infant industries.
- **Theory/diagrams:** tariff diagrams, consumer and producer surplus, AD/AS, comparative advantage.
- **Benefits of caution:** protection of infant industries (Text B, 3); safeguarding farmers and dairy producers (Text B, 2); preserving policy space; managing import surges.
- **Costs of caution:** exclusion from regional value chains (RCEP, Text B, 2); higher prices for consumers; limited access to foreign inputs; reduced FDI in export sectors.
- **Evidence:** India's growth to \$3.7 trn (Text A, 1); 'Make in India' initiative (Text A, 2); supply-chain diversification benefits (Text B, 4); trade deficit of \$240 bn (Text B, 1) offset by services exports and remittances.
- **Synthesis / conclusion:** reasoned judgement, e.g., selective FTAs combined with strong domestic reform may deliver better long-term growth than either blanket protection or full liberalisation.

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